

**Investor.gov****U.S. SECURITIES AND
EXCHANGE COMMISSION**

Direct Investing

You may be able to invest directly using direct stock plans (DSP) or dividend reinvestment plans (DRIP). Here's how they work:

(I) Direct stock plans (DSP). Some companies allow you to buy or sell their stock directly through them without using a broker. This saves on commissions, but you may have to pay other fees to the plan, such as fees incurred if you transfer shares to a broker to sell them. Some companies limit direct stock plans to employees of the company or existing shareholders. Some require minimum amounts for purchases or account levels. You'll want to read and understand the plan's rules before investing.

Direct stock plans usually will not allow you to buy or sell shares at a specific market price or at a specific time. Instead, the company will buy or sell shares for the plan at set times — such as daily, weekly, or monthly — and at an average market price. Depending on the plan, you may be able to automate your purchases and have the cost deducted automatically from your savings account.

(I) Dividend reinvestment plans (DRIP). These plans allow you to buy more shares of a stock you already own by reinvesting dividend payments into the company. You must sign an agreement with the company to have this done. Check with the company or your brokerage firm to see if you will be charged for this service.
